Chennai Petroleum Corporation Ltd. (CHENNPETRO)

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Call: May 2023

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(A Government of India Enterprise and Group Company of IOCL) cpPCL
CS:01:001 May 3%, 2023
The Secretary, National Stock Exchange of India Limited
BSE Ltd. Exchange Plaza, 5th Floor
Phiroze Jeejeeboy Towers, Plot No.C/1, G-Block,
25th Floor, Dalal Street, Bandra Kurla Complex
Mumbai — 400 001 Bandra (e)
Mumbai — 400 051
NSE TRADING SYMBOL: CHENNPETRO
BSE SCRIP CODE: 500110 ISIN: INE178A01016
Dear Madam / Sir,
SUB: TRANSCRIPTS OF THE EARNINGS CALL CONDUCTED AFTER THE
MEETING OF BOARD OF DIRECTORS ON APRIL 28, 2023
Please find enclosed the transcripts of the earnings call / investors concall conducted after the
Board meeting held on April 28", 2023, for your information and records. This information
will also be hosted on the Company's website, at
https://cpcl.co.in/investors/financials/exchange-intimations/.
The above information is for your records and dissemination please.
Thanking you,
Yours faithfully,
For Chennai Petroleum Corporation Limited
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P.SHANKAR
COMPANY SECRETARY
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ett, 5191 / Manali, Chennai - 600 068. 17 /Phone : 2594 4000 to 09 s&s / Website : www.cpel.co.in
Te APA 53, 90 A, TO, 3H - 600 018. / Reg. Office: 536, Anna Sala, Teynampes, Chennai - 600 018. 53/Phone : 044-24349232, 24349833, 24349294, Fax : +91-44-24341753
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"Chennai Petroleum Corporation Limited Q4 and FY23
Earnings Conference Call"
April 28, 2023
A. 7/-
& C28 CPCL
MANAGEMENT: SHRI. ROHIT KUMAR AGRAWALA — DIRECTOR
(FINANCE)
SHRI. VENKATESWARAN — CHIEF GENERAL MANAGER
(FINANCE)
SHRI. ANIL SAHNI — GENERAL MANAGER I/C
(CORPORATE PLANNING & BUSINESS DEVELOPMENT)
SHRI. V. SRIKANTH — GENERAL MANAGER
(PRODUCTION PLANNING)
MODERATOR: MR. HARSHRAJ AGGARWAL — ANAND RATHI SHARE &
STOCKBROKERS
Page 1 of 14
Moderator:
Harshraj Aggarwal:
Rohit Kumar Agrawala: Chennai Petroleum Corporation Limited
April 28, 2023
Ladies and gentlemen, good day and welcome to the Chennai Petroleum Corporation Q4 and
FY23 earnings conference call hosted by Anand Rathi Share & Stockbrokers.
This conference call may contain forward-looking statements about the company, which are
based on the beliefs, opinions, and expectations of the company as on date of this call. These
statements are not the guarantees of future performance and involve risks and uncertainties that
are difficult to predict.
As a reminder, all the participants' lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Harshraj Aggarwal. Thank you and over to you.
Good afternoon everyone. It is my pleasure to welcome you all participants for this Q4 and FY23 post results conference call of Chennai Petroleum Corporation. We have with us the senior management represented by Shri. Rohit Kumar Agrawala — Director (Finance), Shri. Venkateswaran — Chief General Manager (Finance), Shri. Anil Sahni — General Manager i/c (Corporate Planning & Business Development), Shri. V. Srikanth — General Manager (Production Planning) and his team. Without much delay, I would like to pass on the floor to the management so that they can give their opening remarks and then we can move onto the question & answer session. Over to you, sir.
Good afternoon ladies and gentlemen. I am Rohit Agrawal — Director (Finance), Chennai Petroleum Corporation Limited. Our results for Q4 and the full financial year 2022-23 are

with
you and now it is sometime since it is with you. | hope you would have gone through them and any specific queries on them you will ask me, we will take after the briefing.
Let me start with some of the highlights:
CPCL achieved the highest ever throughput that is of 11.31 TPA during the financial year 2022-23. Thus reflects our flexibility to scale to new highs during robust cracks margin by encashing the most opportunity that is available. It may also be noted during this year we could process 1.4 MMT of Russian crude which is equivalent to 13% of our capacity. CPCL achieved the best ever fuel and loss of 9.06%, best MBN figure of 74.2, best EII of 89.2 against previous best.
CPCL achieved the highest ever annual production and dispatch of products including value-added products like hexane, MTO; niche products like NATO grade diesel was also produced during the year.
On the front of energy efficiency, energy efficiency contributed a significant part to our profits in the year gone by, and we are committed to much more new schemes in that space so as to reduce fuel and loss and increase the yield.

Moderator:
Maheshwari:
Rohit Kumar Agrawala:
Maheshwari:
Rohit Kumar Agrawala:
Maheshwari:
Rohit Kumar Agrawala:

Some of the statistics pertaining to the year gone by 2022-23 are as under. Crude throughput was 11,316 TMT as against 9,040 TMT in the previous year. Capacity utilization was 108% vis-a-vis 86% in the previous year. Fuel and loss was 9.06% vis-a-vis 9.71% in the previous year. Distillate yield improved to 76% as against 74.9% previously. High sulphur was 66% as against 62%. But again, on high sulphur, it is not always to maximize high sulphur. We will look at the opportunity what 1s available, what is the difference between high sulphur and low sulphur. Depending on, we take a decision to maximize margins.
As far as the outlook remains, all of you know that the GRM — the price part — is a market play depending on what margins are available there. But certainly, we are committed to bring on board value-added products, energy efficiency, and flexibility which is a USP of CPCL so that we can take maximum advantage of the opportunity that is on table. And certainly, focus will also be there to optimize operating costs and keep our debt within a reasonable limit.
1 am happy to take any queries from your side.
Ladies and gentlemen, we will now begin the question & answer session. We will wait for a moment while the question queue assembles.
Our first question is from the line of Maheshwan from Morgan Stanley. Please go ahead.
Just 2 questions from my end. Firstly, you talked about your processing 13% Russian crude for the fiscal "23. Can you just give us an idea broadly for the 4th quarter what was that number and how much more can CPCL really take in terms of Russian crude and the advantages you are getting on the back of that?
Quarter 4 figure was 17% Russian crude. And at this level, we would have in that range... our capacity would be 20% to 25% in that range depending on operational conditions. That will be our capacity.
‘What was the advantage in GRM you were able to get on the back of that?
It cannot be given in a precise number because you know all the parcels of crude are not at equivalent prices because these are opportunity crudes. It all depends at what price we purchase. Every Russian crude parcel is not at a given discount. They range between $4 to $5 and $7 to $8 depending on what time we are purchasing and what is available in the market.
The second question was more related to the focus that you said on the operating cost side and maybe savings, etc. Can you just give us an idea what was your OpEx per barrel for fiscal 23

and how much more can you lower it by?
OpEx for the current year was $1.7 per barrel.
And how much can you lower it by, roughly, anymore?

Rohit Kumar Agrawala:
Maheshwari:
Rohit Kumar Agrawala:
Moderator:
Hardik Solanki:
Rohit Kumar Agrawala:
Hardik Solanki:
Rohit Kumar Agrawala:
Moderator:
Pritesh Chheda:
Rohit Kumar Agrawala:
Pritesh Chheda:
Rohit Kumar Agrawala:
Pritesh Chheda:
You have to consider this time already we had around 2 million of extra production. Already, this 1s a high divisor. So, unless significant improvement happens over a period, the possibilities are marginal, but yes, NG mix, other factors can come in to bring it down. But yes, this is based on a high divisor already.
So, sustaining this even if utilization rates to kind of normalize a bit down, that should be still possible is what you are saying?
Yes, what | am saying is it is already a high divisor. So, this is already a good number, but yes, through other measures, this can further be improvised.
Our next question comes from the line of Hardik Solanki from ICICI Securities. Please go ahead.
‘What would be the windfall tax impact for the quarter and for the full year and also in terms of the million rupees?
Last quarter, the windfall tax impact was Rs. 700 crores. Full year, it would be in the range of approximately Rs. 4,000+ crores on a gross basis.
If you look at the similar thing, if you compare with the MRPL, they gave a breakup in two ways as an everyday (Inaudible) 09:50.
1 think MRPL has reported their numbers today and some figures may not be publicly available. Twill advise my team. You can get in touch with them after a day or two.
Our next question comes from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.
Sir, I wanted to know the greenfield refinery CAPEX cost per million tonne if land was allotted or land was available.
1 can tell you about our one only. CPCL and the parent company IOCL is entered into a JV to put up a 9 million tonne refinery in Nagapattinam and for that 9 million, the last estimate was 31,500 approximate cost with plus/minus 10% accuracy.
So, how different is it from our existing refinery?
This refinery is a pretty old refinery and that's a new refinery that is coming up. So, this 31,500 is a fresh cost, is a newly built now cost. And earlier one is an old refinery. It has come in multiple phases. That is one. This will be a single column perhaps refinery. Second, there may be a 5% petrochemical integration would be there in the proposed refinery.
Will this 5% petrochemical integration change the dynamics significantly of the CAPEX cost?

Rohit Kumar Agrawala:
Pritesh Chheda:
Rohit Kumar Agrawala:
Pritesh Chheda:
Rohit Kumar Agrawala:
Moderator:
V. Sivasankaran:
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Rohit Kumar Agrawala:
V. Sivasankaran:

Rohit Kumar Agrawala:
V. Sivasankaran: Chennai Petroleum Corporation Limited
April 28, 2023
1 don't suppose so because configuration can happen with higher integration as well.
Does this 31,500 includes any lopsided land cost?
It includes some land because existing land was not sufficient. So, it includes additional land cost.
That should be a significant number by any chance?
Rs. 300 crores to Rs. 500 crores.
Our next question comes from the line of Varatharajan Sivasankaran from Antique Broking Limited. Please go ahead.
If we look at the fuel and loss, can I assume that your usage of gas in the refinery is downed or goes down to zero or you are still using them?
RING presently we are using 1 MMSCMD.
At the peak, what would be your number?
Rather than peak, let me tell you what is the possibility we have. We can increase this by another 50% to 60% depending on favorable prices.
If gas prices were to fall, you might be in a position to use....
Yes, if the present falling price continues and it comes within our economic range, then we can take up by another 50% to 60

% intake more.
You are saying from currently 1 MMSCMD, you can go upto 1.5 to 1.6?
Yes, 1.5t0 1.6.
Your new refinery proposal, what is the current stage it is in?
Almost 30% to 40% of the additional land has been acquired. We hope to complete the balance land acquisition maybe in the next quarter or so. These are at an advanced stage with the government. The new JV has already been formed. We will run the process of financial closure. And already more than 2,000 crore orders have been placed and another significant amount is already opened and is being evaluated. So, it should be done in due course.
If I may squeeze in one more question. What is your capital commitment in the form of equity and other commitment as well in place?

Rohit Kumar Agrawala:
Moderator:
Hetal Gada:
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Rohit Kumar Agrawala:
Hetal Gada: Chennai Petroleum Corporation Limited
April 28, 2023
You would be knowing that this new proposal is coming with CPCL being 25% of equity and 10C 25% and balance 50% coming from private investors. The quasi equity equivalent of [OC and CPCL, 1.e., CPCL is 2,570 at this point of time. So, 2,570 CPCL, 2,570 10C; equivalent amount coming through CCDs and then balance coming through debt.
Our next question comes from the line of Hetal Gada from Max Life Insurance. Please go ahead.
Sir, just wanted to understand from next year onwards, as we generate cash, what are the CAPEX? One is going towards the Cauvery basin project. On a stand-alone front, what kind of CAPEX plans are we still planning?
The annual CAPEX (maintenance CAPEX) for Chennai Petroleum is to range of Rs. 200 crores to Rs. 300 crores. In the case of CBR (Cauvery Basin Refinery), there will be no CAPEX from CPCL. Only there will be equity contribution. Equity contribution is kept at 2,570, total contribution. Out of which, 800 crores to 900 crores already spent. The balance amount will flow in more than 2 years.
So, more than 2 years, it will be spread over the next 2-3 years. [s my understanding correct?
Yes.
And we are not planning for any upgradation or any other project from the stand-alone CPCL?
Rs. 200 crores to Rs. 300 crores is a normal upgradation, maintenance CAPEX. Major project we have not approved at this point of time. As and when it comes, it will be based on economics.
Sir, if [may, what kind of projects are you looking for? Are you planning to increase capacity or any forward integration projects? Just to understand.

At this point of time, looking for capacity at the crude level is not there on the anvil, but there will be value-added products either in the petrochemical value addition or in the lubricants side. Those we always evaluate on a regular basis, and whenever depending on market demand and profitability, we select them and we take them up. The few could be Group II/II1 LOBS project, propylene augmentation, pharma grade hexane.. These are the items which are there on our radar.
That will be inclusive in that Rs. 200 crores to Rs. 300 crores that you are spending over and above the maintenance CAPEX.
Yes, except Group 1/111 LOBS. If it happens, that will be a significant CAPEX, but as of now, nothing has been approved or nothing has been finalized.
Sir, on your debt front, we ended the year at Rs. 4,200 crores approximately debt on our books. With the cash flow generated.... What I want to understand is how much is our working capital

Rohit Kumar Agrawala:
Hetal Gada:
Rohit Kumar Agrawala:
Hetal Gada:
Rohit Kumar Agrawala:
Moderator:
Sabri Hazarika:
Rohit Kumar Agrawala:
Sabri Hazarika:
Rohit Kumar Agrawala:
Moderator:
Guneet Bhasin:
requirement that we need for our entire capacity and will we be focusing on deleveraging further in the next year?
1 understand

the working capital is to the tune of Rs. 3,800 crores. Around that time, Rs. 3,500 crores to Rs. 4,000 crores 1s max our working capital at the present price level. And with cash flows happening, our CAPEX will be met through our internal resources.
Whether you will be focusing on further deleveraging our balance sheet? Like you mentioned, our working capital is close to Rs. 3,500 crores. So, would we use the cash flows towards further deleveraging our balance sheet from here onwards?
It depends. As 1 said, suppose | am getting a good project of Group I/II LOBS, instead of repaying debt, I might take up a significant project to increase my value-added products. It all depends on what kind of projects [have, what are the margins available vis-a-vis my cash flows. Depending on the options, 1 may like to reduce my working capital or I may like to invest in a significant project and try to improvise my margin for future years.
Lastly, any comments on capital allocation policy like dividends and all? Will this payout be consistent? Next year onwards also, will we have a fixed amount of payout as a dividend?
You all know that refinery business is impacted with high volatility. But in the past also, wherever there have been margins and profits, CPCL has always rewarded the minority shareholders. So, [think in the capital allocation policy, that is there. But yes, we do a judicious decision after taking into account our internal fund deployment possibilities, because finally, even for the minority shareholders, the returns can be eared more out of retention. That is in their interest. Looking into these 2 aspects, we will always balance. Wherever there 1s cash, a part will be distributed to shareholders, and wherever there are high-yielding projects, we will deploy back the money in those opportunities as well.
Our next question comes from the line of Sabri Hazarika from Emkay Global. Please go ahead.
‘What was the inventory loss in Q4 and for the full year FY23?
Q4, itis $1. And for the full year, $1. You want in rupee crore terms also?
Yes, please tell me.
Rs. 170 crores for the quarter. And Rs. 680 crores for the full year.
Our next question comes from the line of Guneet Bhasin from Celestial Capital. Please go ahead.
Sir, | wanted to know that for the JV for the new refinery, you have given a land parcel for the JV. What amount you have got for that or equity participation? What is the amount of that parcel which you have given to them?

Rohit Kumar Agrawala:
Guneet Bhasin:
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Rohit Kumar Agrawala:
Moderator:
Kirtan Mehta:
Rohit Kumar Agrawala:
Kirtan Mehta: Chennai Petroleum Corporation Limited
April 28, 2023
The way I remember perhaps the existing land parcel was 600 acres that 1s there. Besides that, another significant equivalent amount is being purchased. Another 600 acres almost is being purchased out of which 30% odd has already been acquired and balance are in advanced stage of acquisition. All these land acquisitions are happening through government agencies.... Tell me what specific you want to know?
1 wanted to know that you must have got a price for your land. They must have fixed a price for your...
Presently, the existing land is on a lease model.
So, you have not got any inflow for that or a credit for that?
1 have not planned a transfer as of now. Presently, | have planned a lease model.
For the Q4 of 23, how much Russian crude in million tonnes have been used by CPCL?
Quantity-wise, 1.4 million for the full year which translates to 13% of my capacity. Q4 percentage 1s 17% which translates to 0.5 million metric ton for Q4 volume-wise.
For Q1 of 2024, how much Russian crude you are planning to use for your refinery?
1 think only a month has gone. So, the exact n

umbers would not be there because it is happening
on a spot basis. But again, [think that 20% to 25% you can assume.
Around 25%.
Yes, 20% to 25%.
Sir, what is the discount you are getting on the Russian crude?
As I said, because these are happening on spot, it ranges between $3 to $4 and $7 to $8. It depends from deal to deal and there is no fixed format or fixed pricing because these are on spot basis.
Our next question comes from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Following on the Russian crude, if the Russian crude price goes above the price cap set by the European and Indian, would you still be able to continue the procurement?
We will continue till there are no compliances hurdles or there are no statutory non-compliances.
One more question on the greenfield refinery. For the 50% where we are envisaging private investor, at what stage we will start identifying a private investor?

Rohit Kumar Agrawala:
Moderator:
Siumit Bokharna:
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Siumit Bokharna:
Rohit Kumar Agrawala:
Siumit Bokharna:
Rohit Kumar Agrawala:
Moderator:
Kaushal Kedia:
Rohit Kumar Agrawala: Chennai Petroleum Corporation Limited
April 28, 2023
1 think you would also appreciate when significant risks are over, that is the best time to get a fair value. Because, some of these risks are not risks to us or to the holding company because there are 11 refineries and refinery construction is pretty normal to us. But that may be a nisk to financial investors. So, once financial closure happens, the significant risks are over, and significant price risk, Bid price and award risks are over; and sizable construction risks are over, 1 think that is the time we will get a fair value. And with our experience, we would like to introduce a financial investor or a strategic investor when there is a fair value to the project.
We will move to our next question which is from the line of Siumit Bokhama from Kotak Securities. Please go ahead.
1 just wanted to understand, on a sustainable basis for FY24, what throughput we can assume? And is there any planned maintenance for FY247

No major planned maintenance. There is one in September-October.
Because I guess the crude throughput which we have achieved in FY24, on a sustainable bass, these numbers look difficult. Isn't it?
No, not that way. If you are looking at 11 MMT on a year-to-year basis for the next few years, this 1s not difficult. But yes, 0.5 here and there depending on requirements and profitability. Even for my throughput, I also look at my margins. At times, | compromise on throughput for my margins. But yes, from a technical perspective, if you want to ask me, for the next 2-3 years is 11 million metric tons feasible, yes, it is feasible.
Assuming that this Russian crude.... because recently, the Singapore refining margins have corrected drastically though they remain volatile throughout the year, any wild guesses that these GRMs which we have achieved during the full year, are these sustainable going forward?
You yourself said that the Singapore GRMs are fluctuating. What is sustainable is my efficiency, my flexibility, my realizing opportunities, but yes, the gross cracks I will be deriving from the market. Only thing I can do is [can optimize the crude cost and [can look for bargain purchase. But the broad gross cracks I will be deriving from the market only.
Our next question comes from the line of Kaushal Kedia from Wallfort PMS. Please go ahead.
Sir, [wanted to understand what was the discount on the Russian crude that you received last year?
I said it ranges between $3 to $4 and $7 to $8. But because most of these are on spot basis, it depends on each parcel, the opportunity that is available to us. And there is no fixed rate agreed or there is no term contract as such with that.

Kaushal Kedia:
Rohit Kumar Agrawala:
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Kaushal Kedia:
The discount that you received last year, you will continue to receive a similar discount or you have received a similar discount in this 1 month gone by for this financial year?
Yes, you would appreciate had this been a term contract, I could have given some forecast. But as | said, even the last year was spot contract and even the current year [am looking at spot contracts only. As and when term contracts are signed, [will let you know.
What [am trying to understand is for this 1 month of the quarter 1, you have received a similar discount?
For the month of April, yes, it was in line with last year only.
1 know it 1s difficult for you to answer this question, but I will still ask you. What was the intent of the government to levy the windfall tax? Was it because the refineries were making abnormal profits because of Russian crude or was it because the crude price internationally had gone up to a very high level and the government wanted to just fill the treasuries with 1t? What was the intent you can help me understand it better?
You were already saying it. The real intent of the government I think I am not the right person to answer but professionally as you would guess, my guess would also be. They must be trying to balance the economy and requirements of this country. That is what I suppose.
But was it because of the abnormal margins that you all were making or was it because the crude oil price had gone up, so it was related to that. Because, | am very confused as to what was the intent of the government.
It can be both; the margins were not sustainable plus economic objectives need to be balanced. But again, you would appreciate I am not the right person to answer because persons who are creating the policies would be in a position to answer you.
‘What is the kind of inventory that you keep right now? For how many months or weeks?
Our inventories are for 20 to 25 days crude.
Sir, [have just one request. The last concall I think probably done was like more than a year ago. Is 1t possible for you to do frequent concalls? Because, anyways the industry is so volatile and we as investors, we fail to get the price because the stock should not be substantially below book value. If you could make more disclosures in your investor presentation and if you can share investor presentation, it helps us because it helps to just align with the volatility of the profit numbers that you all declare every quarter. Just a request or a suggestion as you may term it if possible.

Rohit Kumar Agrawala:
Kaushal Kedia:
Rohit Kumar Agrawala:
Moderator:
Harsh Maru:
Rohit Kumar Agrawala:
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Moderator:
Nalin Shah:
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Rohit Kumar Agrawala:
Nalin Shah:
Rohit Kumar Agrawala: Chennai Petroleum Corporation Limited
April 28, 2023
1 fully appreciate. My team will be in touch with you people and if some standard information or presentation helps you, that will be there. Our endeavor also is to regularly interact with all the investors.
Just one more question. What is the average cost of borrowing?
Weighted average rate is below 6, but short term is little higher, a little less than 7.
Our next question comes from the line of Harsh Maru from Emkay Global. Please go ahead.
My question is regarding there were media reports speaking of IOCL signing a term contract with Rosneft for crude. Is there some kind of benefit that would flow to CPCL through that term contract?
As of now at the point we are speaking, CPCL crudes are mostly flowing from spot contracts. As of now, no term contract has been signed by CPCL or allocated. As of now, we are only sourcing through spot contracts with respect to Russian. I hope you talked about Russian crude only.
Yes.
Our next question comes fr

om the line of Nalin Shah from NVS Brokerage. Please go ahead.
At the outset, [would like to congratulate the management for I think superb numbers. Probably, it could be the life-time best performance of CPCL.
You are correct. Even we are feeling about this lifetime achievement. But yes, our internal resolve is can we make this consistent from the operational side and based upon which we can improve.
My first question is that the new refinery with IOCL which you are building for 9 million tonnes, what would be the percentage holding of CPCL in that?
The percentage holding of CPCL 1s 25%, IOCL 25%, balance 50% private investors.
Secondly, 1 just wanted to know what is the possibility or doing. ... because if you see the balance sheet of CPCL, like as you mentioned in some of the questions, it's an old refinery created over a period of time with installments. Currently if you see, your share capital is only Rs. 149 crores whereas your top line comes to almost about Rs. 91,000 crores. Is there some kind of a thinking that to bring the capital in line with the actual.... to show the correct position of the company, some kind of a bonus issue something can be expected?
Anything on your mind when you talk about the correct position?

Nalin Shah:
Rohit Kumar Agrawala:
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Rohit Kumar Agrawala:
Nalin Shah:
Rohit Kumar Agrawala: Chennai Petroleum Corporation Limited
April 28, 2023
In terms of reflecting what is the cost of such a big company like one which is having Rs. 90,000 crores top line. It cannot be created with this kind of a capital.
But whatever | know and the way I perceive, all these retained earnings are also capital in that sense.
Of course, yes, net worth is the same thing. But still, probably you may like to bring in line with the new refineries which you are building now.
In case we have more requirement of capital, we are expanding significantly, in addition to that,

we may also try to bring in some additional equity later.
So, will there be some expansion exclusively in the CPCL by itself also?
No, expansion by CPCL in the existing Manali on a crude basis is not feasible at this point of time. But on a downstream value-addition project, we are evaluating some of the projects. The normal maintenance CAPEX is not an issue. That will be met out of the normal cash flow. But yes, if there are significant major projects we may look for debt or equity depending on the size.
As one of the previous speaker had asked that the volatility in terms of performance of the refineries like yours, it is very difficult to assess that what could be the quarter-to-quarter kind of profitability. Can you give us some idea that on an annualized basis, we can take that the last year's performance is something to be taken as some kind of a benchmark that yes we can expect considering the crude where it is trading that we can take it that it could be in line with the last year's performance?
Again, my reply will be two-fold. As far as the operational part goes, be it throughput, be it operational parameters like fuel & loss and distillate yield, you can take that these levels are sustainable and we will be doing our best endeavor to improvise further. But the pricing part, you know, neither crude has remained in a range nor gross cracks nor policy parameters in terms of taxation. And those are given in the market. What CPCL has shown consistently is they are agile and with this agility they make most of the market offer. That will continue to happen, but yes, we will be driven by the broad spectrum of pricing that is prevalent in the market.
My last question will be that you have come out with the dividend of Rs. 27 per share which 1 think yesterday approximately 1 worked out which comes to around Rs. 402 crores or so. Just wanted to have understanding that are we having some kind of an internal

parameters in terms
of that how much of the profit could be distributed or something or it is like on a case-to-case basis you will be considering?
On a broad level, we are a listed company. Besides promoters, we have minority shareholders also. Whenever there are cash flows, we take a judicious decision between the available projects for further enhancement of shareholder value plus rewarding the shareholders also in terms of dividend. This policy is consistent, this will continue, but yes, this will be dependent on two

Moderator:
N. M. Modi:
Rohit Kumar Agrawala:
N. M. Modi:
Rohit Kumar Agrawala:
N. M. Modi:
Rohit Kumar Agrawala:
Moderator:
Aman Jain:
Rohit Kumar Agrawala:
Management:
Moderator:
Pranjali Dutta:
Rohit Kumar Agrawala:
Pranjali Dutta:
Rohit Kumar Agrawala:
Pranjali Dutta:
Rohit Kumar Agrawala:
factors. First, availability of cash flow on a year basis, and second, investment opportunities available with the company.
Our next question comes from the line of N. M. Modi, an individual investor. Please go ahead.
My question is regarding the notes to the accounts. You have mentioned the provision for probable contingency to the extent of Rs. 217.06 crores for the quarter and year ended March. And a similar provision was there in the last year also. This is the end or will it continue?
Whatever issues were there, fully provided for.
So, nothing is left on the table now?
Nothing 1s known to us which 1s not provided for. But you would understand these are litigation on taxation and others which evolve year after year. This is based on year-to-year development. But yes, whatever cases were there, as per the opinion available, we have provided for fully.
In which head, it 1s debited? Can you tell me?
These are indirect taxes related demands which were there, which we evaluated, and based on opinion, we provided for.
Our next question comes from the line of Aman Jain from Augmenta Research. Please go ahead.
Sir, could you please provide the average Singapore GRMs for quarter 4 and what are they now?
The quarter 4 Singapore GRM was 8.2.

It has come down to 3.
Our next question comes from the line of Pranjali Dutta from Jetage Securities. Please go ahead.
Sir, what was the Russian crude processed in the second quarter?
1 will not be able to give the exact number now, but I think we started perhaps from the second quarter gradually and for the full year, it was 1.4 million.
You started from the second quarter gradually?
Yes.
For our purpose, for Chennai Petro, do we follow.... Our GRMs would be closer to Singapore GRMs or Asian GRMs?
Singapore premium.

Moderator:
Pragya Khaitan:
Rohit Kumar Agrawala:
Pragya Khaitan:
Rohit Kumar Agrawala:
Pragya Khaitan:
Rohit Kumar Agrawala:
Pragya Khaitan:
Rohit Kumar Agrawala:
Moderator:
Harshraj Aggarwal:

We will take our last question which is from the line of Pragya Khaitan, an individual investor. Please go ahead.
Sir, [wanted to know if there are any projects in line to increase the efficiency of our refinery and increase the profitability? As we compare it with the other companies, we see they are much more efficient than CPCL.
In what parameters?
More throughput and being more efficient so that the profitability increases?
Twill tell you my understanding. Throughput 1s dependent on the design capacity. If my design is 11, I can do 11 and 12. If my design is 15, [can do 16 at max. So, capacity is dependent on design, and CPCL's design 1s 10.5 and we clocked 11.3 this year, the maximum. As far as efficiency also goes, that also depends on what kind of crude you are processing, what kind of products you are taking — all those are there. So, itis not a factor of one, itis a factor of multiple. But yes, for margin improvement, which is perhaps you are focused, we are

looking at pharma
grade hexane, we are looking at propylene output expansion, we are also looking at Group II/II1 LOBS project so that the traditional product can be converted into a more margin-related product. As far as energy conservation goes, which is another efficiency parameter, CPCL continuously strives to do better, and in the last 2-3 years, every year has been the highest compared to the previous efficiency.
Sir, a request again. Somebody has already asked you that we as investors need to interact more with you because there are so many things that get cleared during a concall which we do not get anywhere in the print media. So, a sincere request to have frequent concalls, sir.
Noted, I solicit your cooperation and your help. You tell my team what is required. We will try to evolve a standard format and a regular period for concall. Unless there are any major exigencies, this will be regular.
After Q3 also, like in Mumbai, the company did meet individual mutual fund investors but not retail investors like us.
We will surely look into it.
Ladies and gentlemen, we have reached the end of the question & answer session. I now hand the conference over to Mr. Harshraj Aggarwal for closing comments.
Thank you everyone. We would also like to thank the management for giving us an opportunity to host the call and also to the participants who are participating in the call. Thank you everyone.
On behalf of Anand Rathi Share & Stockbrokers, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

CS:01:100 07th May, 202 5

The Secretary
BSE Ltd.
Phiroze Jeejeeboy Towers
25th Floor, Dalal Street
Mumbai – 400 001 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G -Block
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051

BSE Scrip Code: 500110 NSE Trading Symbol: CHENNPETRO
ISIN: INE178A01016

Dear Sir,

Sub: Transcripts of Post Results Conference Call - Q4 (FY 2024 -2025)
Further to our earlier communication vide our letter dated 28.04.2025 & 02.05.2025 and Please find enclosed the transcripts of the Post Results Conference Call of the Company – Q4 (FY 2024 – 2025) conducted on 2nd May 2025 (Friday) .
This information is also available on the Company's website at https://cpcl.co.in/investors/financials/exchange -intimations/ .
This is for your information and record please .

Thanking you,

Yours faithfully,
for Chennai Petroleum Corporation Limited

P.Shankar
Company Secretary
Encl: a/a

"Chennai Petroleum Corp oration Limited Q4 FY25
Earnings Conference Call"

May 02, 2025

MANAGEMENT : SHRI ROHIT KUMAR AGRAWALA – DIRECTOR (FINANCE)
SHRI ANIL SAHNI – CGM (TECHNICAL SERVICES)
SHRI A DHARMARAJ – CGM (FINANCE)
SHRI SRIKANT H V – CGM (TECHNICAL)
MODERATOR : MR. HARSHRAJ AGGARWAL – YES SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY'25 Earnings Conference Call of Chennai Petroleum Corp oration Ltd. hosted by YES Securities.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Harshraj Aggarwal from YES Securities. Thank you and over to you, sir.
Harshraj Aggarwal : A very good evening to everyone. I would like to extend a very warm welcome to all the participants and the top Management of Chennai Petroleum.
So just to highlight to you who all are present, we have with us Shri Rohit Kumar Agrawala – Director (Finance), Shri Anil Sahni – Chief General Manager (Technical Services), Shri A Dharmaraj – Chief General Manager (Finance) and Shri Srikant h V – Chief General Manager (Technical).
I would like to hand over the call to the Management for opening remarks and post that we can move on to Q&A session.
Rohit Agrawala: Good evening, everyone. I am Rohit Agrawala – Director (Finance), Chennai Petroleum and with me my senior colleagues Mr. Anil Sahni – Chief General Manager (Technical Services), Mr. Dharmaraj – Chief General Manager (Finance) and Mr. Srikant h – Chief General Manager (Technical).
First, I must thank you all for joining this call today. On behalf of CPCL team, I welcome you all to this post-Quarter 4 Financial Year 2024 -25 Result Con Call.
Before we begin, I would like to mention that some of the statements that we will be making during this Con Call are based on our assessment of the matter and we believe that these statements are reasonable. However, the result would be different depending on the number of events and uncertainties.
Our Quarter 4, 2024 -25 Results are with you for quite some time now. I hope all would have gone through and would have done their own analysis and during this call, I will be happy to take questions based on the same.
To start with brief highlights from my side:

During this quarter, our refinery continued its stellar performance both on physical as well as financial parameter. I would like to highlight some significant developments as this being our diamond jubilee year:
CPCL has been upgraded from Schedule -B to Schedule -A Central Public Sector Enterprise by Government of India during August 2024 which will strengthen the management and expedite the decision -making process and also enable us to obtain Navaratna status, whereby the board will be empowered with financial autonomy going forward .
Now, let me start with the physical performance :
CPCL achieved a crude throughput of 10.45 MMT, equivalent to 99.5% of our installed capacity and this must be seen with respect to the turnaround that has happened during the year and if you take that into consideration , you will find that this performance is quite comparable to the previous year's performance where CPCL clocked 111% capacity utilization and coming on to Quarter 4, the crude throughput was 2.974, which is 113% of installed capacity . This again reinforces that performing much beyond our rated capacity is now a norm and CPCL is capable of that repeating year after year.
The next I would like to state, the lowest ever Energy Intensity Index registered during the year further underlines the optimized energy utili

zation . I must place it that if you remember our Energy Indexes and our Fuel and Loss Indexes were quite high 2-3 years back and we went to a roadmap where we said on a sustained basis, we will bring it down to very efficient levels and in that context, the fuel and loss has come down to 8.51% for the year as a whole . The MBN is at around 72.0. The best EII figure of 87.4 has been clocked in the current year, 2024 -25.
With respect to value -added product comprising food grade hexane, we have now added pharma grade hexane of equal capacity and that has also reflected in our sales where products like hexane, MTO, lean butane have registered its highest volume of sales in this current year.
With respect to RLNG and our commitment to net zero, RLNG consumption during the year FY 2024-25, was 527 TMT as against 441 TMT in the previous year. It must also be highlighted here that the previous year was our best till date and much above earlier years. So, we look constantly at this space and based on our economics, we try to increase the RLNG quotient for overall profitability and environmental sustainability.

During the financial year, we have processed almost 64% - 65% of high sulfur. Our long-term sourcing remains at around 55% - 60% and the remaining through spot and the opportunity crudes depend ing on individual economi cs, and we try to harness and increase them to keep profitability at the best.

Pharma -grade hexane is a new product that we introduced during the year which gives us inroads into a new market altogether.

We also did a trial run of SAF (sustainable aviation fuel). We will be one of the few players who will have an early role who has the possibility of an early rollout of SAF.

Safety is critical in an industry like us. Again, we are happy to share that the zero-fire incident is continuously monitored & upgraded, and we continue to have it. Now, it is almost 1884 fire-free days as of March 31st, 2025.

To summarize the physical performance, we are committed to develop new schemes on energy efficienc y, take the fuel and loss reduction roadmap further lower and then develop enhanced production of value -added products as well going forward.

Now, I turn to financial performance :

The GRM for 2024 -25 for a full year basis is $4.22 per barrel as compared to the previous year $8.64 per barrel , but if you compare it to Singapore benchmark which was $3.79 per barrel in the current year, we have performed better . We all know that product cracks have reduced as compared to previous year in the international market, but our endeavor to better the benchmark continues.

On Quarter 4, our GRM was $6.22 per barrel . Again, if I compare the previous year same quarter, it was $7.7 per barrel, but if I compare it to Singapore benchmark, which was only $3.1 per barrel . So, the efficiencies would be evident and when we go further, we will also explain where from these efficiencies are coming.

We have been continuously achieving a premium GRM earnings over Singapore GRM and if you ask why it is coming , post our scheduled shutdown maintenance M&I, our refinery production has come back to better reliability and efficiency levels .

Our fuel consumptions are at the lowest possible on incremental Quarter -on-Quarter basis. Fuel and losses are at the lowest possible and then efficiencies are to the max.

When I turn to leverage position, the debt equity position as on March 31, 2025, is 0.39 compared to 0.32 in the previous year. At an absolute level , the debt stands at Rs. 3,100 crores as compared to Rs. 2,762 crores as on March 31, 2024 . Net worth is at Rs. 7,

939 crores as on March 31, 2025.

With the above , the Board has also recommended a dividend of Rs. 5 per equity share that is 50% of face value for the current year and as we all know, this is subject to approval at AGM, which will happen in the due course.

On the CAPEX front, in the current year, we have spent Rs. 673 crores as CAPEX for the current year. Our maintenance CAPEX remains Rs. 200-250 crore range, and the next year forecast also, we feel the CAPEX will be in that range. The maintenance CAPEX will be at around Rs. 200-250 crore range and depending on value added projects approvals, the actual will be a little different.

On the Governance front :

I am happy to share that we have successfully implemented the Information Security Management System, ISMS and certified for ISO 27001.2022 enhancing our system security robustness. The relevance of me pointing out this here is we are very aware that in the present systems beyond the normal safety of the plant, the system safety, cyber security are of importance and the company gives proper attention to that.

Another highlighting factor on the Governance front I would like to highlight is CPCL started with the Integrated Reporting -Annual Report within the IR framework in FY 2022 -23. Immediately in the next Financial Year 2023 -24, we were among the select few who got it assured by an independent assurance provider . I am happy to share that now we are also part of the S&P Global ESG score and CPCL has achieved a score of 46 for the year 2024 which is well above the Indian average ESG score in this field. And the point that I would like to highlight is that this is a journey that we have started. Transparency in governance is one of our cornerstones and we will keep this momentum forward.

Finally, the uncertainties due to volatility of crude prices do pose a challenge. Though these broader factors may drive volatility , we remain focused on things we control that is fuel efficiency, capacity utilisation and operat ing our refinery efficiently in a safe, reliable, and environmentally responsible manner and continue to focus on key metrics of controlling the operating cost as well as maintaining capital discipline by adhering to optimum return on value added and growth projects and thereby

honouring our commitment to create long-term value for shareholders.
To summarize , we continue to deliver resilient operational and financial performance and see the momentum to continue in the new financial year as well.
Thank you once again. Now we are open for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: Your GRM is premium to Singapore, is there any inventory gain during the quarter which help you to post the better GRM?
Rohit Agrawala: Yes, the inventory gain is not very significant for the quarter. It is only $ 0.66 per barrel . And in absolute rupee terms, it is Rs. 125 crores only. But on an overall annual basis, the inventory would be a loss that is $ 0.06 per barrel, Rs. 40 crores in amount.
Yogesh Patil: My second question, as you mentioned, your long-term crude sourcing is 55%-60%. Can you provide us some details from which countries you are getting a long-term crude sourcing and any discounts you receive from the same?

Rohit Agrawala: Broadly , what is happening, we use in our long-term a lot of Basrah heavy, Basrah medium grade crude from IRAQ and then Arab grades from Saudi ARAMCO . The premium/disc

ount is based on
Official Selling Price (OSP) declared by the supplier monthly . Looking into our configuration we have optimised it on an overall economics angle also and these are the best suitable crudes for us and that is how we have kept them in our long-term basket.
Yogesh Patil: Basrah is an Iraqi crude and generally Iraqi provides $2-$3 per barrel kind of discounts to the Indian crude market or general benchmarks, if I am not wrong, correct me.
Rohit Agrawala: It may not be exactly same and they vary from month to month . But as I said, more than the discount, the type of crude suits us in our economics based on our configuration plays the significant role. That is how we have kept them in our long-term basket, and we prefer them considering the overall economics .
Yogesh Patil: My third question is about the refinery expansion plans at Cauvery. Can you update us on the revised project cost, the completion , the commissioning timeline, and post-completion of this refinery project? How refinery product slates will change?
Rohit Agrawala: Let me tell you about some updates on the project. On the CBR update , in the last year we revised the capital cost as well as the capital structure. The revised capital cost is at Rs. 36,354 crores with a 25:75 equity holding between CPCL and Indian oil respectively . The most important updates with respect to the project is now we have full custody of the land. So, about 600 acres, which was already with CPCL and another 600 acres, which was acquired in the process, both is in our possession and the pre-project activities of boundar y wall construction , and all those things are almost at a big stage. We are awaiting CCEA approval, that process is on, and we expect it in few months . Some more updates will come in that respect. With respect to product slate, this new refinery had a 6% PP i.e. petrochemical index of 6%. Others were broadly in line with normal standard only. This did not have any NAPHTHA, or the slate did not have any NAPHTHA . That was on the product slate side.
Yogesh Patil: 6% petrochemical index includes which petrochemical products, any broader idea on that term?
Rohit Agrawala: PP, polypropylene.
Yogesh Patil: Lastly, the post-completion of this refinery, what kind of debt levels or debt to equity levels we can expect?
Rohit Agrawala: This is separate JV. So, the JV will have a separate debt equity and financial s. Presently, we are working with a 2:1 debt equity for this JV.
Yogesh Patil: Thank you.
Moderator: Thank you. The next question is from the line of Krishna Mundra from Dam Capital.

Krishna Mundra: Can you highlight if there are any expansion plans in your existing refinery, whether in the form of expansion or petrochemical integration?
Rohit Agrawala: So, because this is a very old refinery, a significant capacity expansion may not be on the radar immediately. But as you may be aware , multiple units exist within our refinery. There are lot of schemes with de-bottleneck ing, which may improve the capacity . Though, in quantity terms it may not be much. But I would like to highlight one more thing, LOBS i.e. Lube Oil Based Stock, Group - II and III, the proposal is at a very advanced stage on approval , wherein NAPHTH A and HSD will be upgraded to LOBS Group -II and III . This seems to be a very profitable project, and we are geared up. Based on approvals we can take up this project quickly. And that should be profit margin accretive.
Krishna Mundra: In that context, can you highlight your CAPEX guidance for the next two years? And would that

CAPEX guidance also include the earlier discussed

LOBS project?
Rohit Agrawala: The normal maintenance CAPEX for the next two years would be around Rs. 250 to Rs. 300 crores , maintenance CAPEX plus small regular CAPEX normally. And with this project, another Rs. 400 to Rs. 500 crores you can add for each of the year. So, without this project, about Rs. 300 crores per year. With this project, about Rs. 700 to Rs. 800 crores per year.
Krishna Mundra: Thank you.
Moderator: Thank you. The next question is from the line of Sumit from KPL.
Sumit : A couple of questions here. One, when is the next major refinery maintenance scheduled? And what was the expense in the major maintenance that happened in September -October last year?
Rohit Agrawala: In 2025, our refinery crude unit 1 which caters to lubes will go into maintenance around August, September. But yes, for more detail, I will ask Mr. Anil to talk about the current M&I, which happened in FY 24 -25, which you asked as well as some details about this maintenance.
Anil Sahni: Good evening. In 2024 -25, we had a maintenance shutdown of one of our crude units. We have three crude units. One of our crude units and some important secondary units like Delayed Coker, FCC, etc., went for scheduled maintenance and that has been successfully completed. In the current financial year 2025 -26, one of the other crude units will go for maintenance along with the lubes block as such.
Sumit : Other question is, are there any plans to upgrade low-value products like pet coke to higher -value products?
Rohit Agrawala: As we said, that is a journey we engage in continuously. Last year, we upgraded another capacity in terms of pharma grade hexane. Now, we are looking at SAF, again for premium. So, similarly, we have a few more products; but LOBS is at an advanced stage, and that is what I mentioned. But yes,

as a refinery, we are continuously in work for various other value -added products which are in the fray.
Sumit : And other question is regarding the dividends, like, is the inventory loss and the maintenance shutdown the only reasons why the dividend has come down so much?
Rohit Agrawala: No, dividend has not come down because of maintenance shutdown or any other factor. Dividend has come down because of the profits. When we compare the last year profits and current year profits, there is a significant change. The primary reason is the international cracks. The cracks which were there at about close to $13 to $15 per barrel in HSD and other products has come down to 10 or sub-10 level in the current year. And that is not a specific phenomenon with respect to CPCL. That is the industry phenomena which had happened.
Sumit : Thank you.
Moderator: Thank you. The next question is from the line of Yash Nandwani from IIFL.
Yash Nandwani: Sir, I am not sure if this was shared earlier. Could you please confirm the share of Russian crude in 4th Quarter of FY25 and how it is trending in 1st Quarter of FY26?
Rohit Agrawala: I'll term it as an opportunity crude. And opportunity crude, I think on a full year basis was around 30% not very significantly different from earlier years. But going forward, the opportunity crude basket may not change, but the composition of opportunity crude basket may change because now we are getting some good offers in other opportunity basket like US, African and others. So, because we have about 55%-60% term, that leaves us another 40%. And normally we keep around 30% (+/-4% to 5%) for our opportunity crude evaluation. Depending on whatever crude is most beneficial in economic s terms, suiting our technica

l requirement we optimize that type of crude.
Yash Nandwani: Sir, also could you provide some color on the discounts on opportunity crude in 4th Quarter?
Rohit Agrawala: On an annual basis, if you ask me, the average would be little less than $2 per barrel . In the last quarter, it would be less than $1 per barrel . But intermittently, there were $3- $4 per barrel also. And what is happening now, again that $1-$2 per barrel seems feasible with little bit of whatever we have done now in the current year.
Yash Nandwani: So, current discounts are close to $2?
Rohit Agrawala: Not on all, some of the time. At times we are getting even $ 0.5 per barrel ; at times we are getting $1 per barrel . Even $2 per barrel is feasible.
Yash Nandwani: Okay, thank you.
Moderator: Thank you. The next question is from the line of Nalin Shah from NVS Brokerage.

Nalin Shah: First of all, I think the Q4 results were quite encouraging, but we just failed to understand that how do we actually project, once we look at FY’23-24 performance versus FY’24-25, it is a vast

difference. So, we are unable to really understand. And as you mentioned that it is the cracks which decides the profitability of the company. So, if you can just give us some guideline that current year, how do we expect something on the FY'23-24 or it could be FY'24-25 kind of a situation?
Rohit Agrawala: I will try my best and I will give you some broad guidelines, how to evaluate CPCL and how to project our earnings . So, one point, whatever I said, and you also reiterated is very true that what a refinery earns is the difference between crude and product prices internationally because our prices are at international parity prices . And normally people take HSD as a benchmark because that is almost close to 50% of the product slate. HSD, ATF, MS, these are three prominent products . And if international cracks are higher the profits will be much higher and if it is lower, the profit will be lower. The second factor, which is very important is M&I shutdown. If there are large M&I shutdown that much of product processing availability is under maintenance , that affects profitability . Plus, every M&I shutdown also involves startup and shutdown cost. So, the operating cost also remains little elevated. Now, if I compare the previous -to-previous year and last year for CPCL, in year 2023 - 24 we ran into a full capacity, because the maintenance shutdown happens in a cycle of 3-5 years for a particular unit. There was no maintenance shutdown of any of the units in 2023 -24 but in 2024 -25, as CGM Technical Mr. Anil explained, we had few primary and few secondary units which went on maintenance shutdown that affects efficiency and availability of processing and availability of product. Now, when you look forward 2025 -26, the impact of shutdown that will happen in the current year is lower than that in the previous year. There is one unit shutdown, one primary unit. If you make a single index, it will be lower than what happened last year. So, you can expect a through put which is higher than last year on the operational part. On the pricing part we started April in a muted fashion in line with Q4 or March, something like that. May'25 prices seem to be better than April'25. But on the pricing, the volatility is so high. Every month it is changing drastically. And every $1-$2 of crack impacts the profit because there is a constant operating cost. So, I think taking a guess on the cracks will not be feasible. But yes, on the operational side, we intend to improve further on a capacity utilisation levels, on energy int

ensity index and fuel efficiency , we would improve on a continuous basis .
Nalin Shah: Thank you very much. It was a wonderful explanation. And one more question I have is that since you are going in for a JV company with a huge new refinery, is it that you will be able to offer some kind of opportunity by way of a rights issue or otherwise to the shareholders of CPCL?
Rohit Agrawala: At this stage, no decision has been taken. But as you know, when we are finalizing the equity part, there will be multiple options which will be evaluated.
Nalin Shah: Yes, whether any participation, we will be able to participate through a right issue of CPCL or anything.

Rohit Agrawala: At this point of time, we have decided the debt equity at 2:1, but all these are tentative. Closer to the event , we will take all capital structure -related decisions. We have not firmed up anything as of now. But any decision that is in the interest of the shareholders would be taken -up and communicated.
Nalin Shah: Sir, what is the final estimate of the refinery's capacity and the cost structure?
Rohit Agrawala: The new refinery capital cost is Rs 36,000 Crore approximately, 9 million metric ton capacity and petrochemical intensity of 6% and which is PP, polypropylene.
Nalin Shah: Thank you very much.
Moderator: Thank you. The next question is from the line of Achal Shah from Ambit Capital.
Achal Shah: As you said about the 30% sourcing from alternative sources like where we are getting discounts, how much of that is Russian and how much is from other parts? Can you give a breakup of that? Opportunity crude sir.
Rohit Agrawala: Opportunity crudes in the past two years are predominantly represented by Russian crudes and since we have the capability to process more than 150 grades of crudes broadly consisting of various regions like West Africa, US and other crudes from middle east this may vary depending on overall economics.
Achal Shah: Following up, the average discount for this opportunity crude will range in what $3 to $4.
Rohit Agrawala: Last year, that is the Financial Year'24 -25, the average was around $1.5-$2. But it has gone to a high of $3-$4 and to a low of less than $1 also.
Achal Shah: Thanks for your reply.
Moderator: Thank you. The next question is from the line of Harshraj Aggarwal from YES Securities.
Harshraj Aggarwal: We are present in the southern market, and we are aware that the market is in the shortfall. If you could cover some part of it, what is the shortfall and how it is going to pan out in the next few years given the demand is growing.
Rohit Agrawala: I will tell you something which is very clear and crisp. MS in southern market, there is a clear shortfall so, the production is less than demand . It is close to about 20 TMT per month. So, that is how, if you see in CPCL strategy whatever little flexibility is there, we have continuously tried to increase MS, so that we can take advantage of the demand scenarios and we can increase our margins.

As far as others are concerned, we have seen the southern market to be mostly aligned to the national growth projection. Like MS, they are projecting 6% and here we see around 4%-5%. HSD we see at 3% growth forecast , as against 2.5% odd here. So, in others we do not see much of a difference. But yes, in MS products are moving from other market to here. So, that is how we have made constant

effort to increase our production of MS where-ever there is growth opportunity as well as the product is in shortfall in the region .

Harshraj Aggarwal: I have another ques

tion is on the RLNG piece. So, we are consuming RLNG as a feedstock. So, at what prices are they viable versus the alternative fuel like FO or NAPHTHA?

Rohit Agrawala: I am happy to share with you, we do not consume RLNG as compulsion. So, if you have seen 2 years before, whatever was RLNG consumption, almost we have doubled in 2 years. We have kept dual feed system in most of our operations. Our compulsion is very minimal. It is based on economics, period to period basis. Cost of the feed, alternative feed, export realisation and the net cost, delivered cost of RLNG these determine our RLNG consumption. So, if I have increased more, it means we have felt this is beneficial on economics angle. Also, we need to keep in mind that close to our coast , is a RLNG terminal and we are connected to it directly through pipelines. The southern coast is close to the international sea route so, all those advantages accrue to us when we account for our RLNG delivered cost.

Harshraj Aggarwal: One last question, I wanted to understand your view on the defining market now. We have some shutdowns, some capacity reduction , some capacity is going out. And in the Indian scenario, you have seen lot of capacity that is coming up. You have a HPCL Rajasthan refinery; you have expansion at IOCL. So, how do you see that market panning out over the next two years, the domestic one and the global in terms of the cracks?

Rohit Agrawala: Let me start with the domestic market first. As you have yourself said, no capacity is coming immediately. Maybe it will span over 2 years, or little after that, those capacity will come up. All these capacities are based on the demand, the foregoing demand. So, capacities are coming in line with demand, and they will not come immediately, they will come after two years. And with respect to short -term shutdowns and all, the kind of monthly fluctuation that happens in GRM and others are based on short -term demand supply gaps. Short -term demand supply gaps do take care into short -term surplus or deficit of product. Internationally also, though there are some capacities that are coming in Africa predominantly, but there may be some other capacities that will go off in some of the developed countries. So, again I will say when people put up large capacities, long-term investment, it is based on long-term demand projection. And long-term demand projection for the last some time is closely watched. So, I feel that it may not have a significant impact on immediate or near immediate or mid-term, medium -term, with respect to margins or GRM. But yes, margins and GRMs are not affected by a single factor, that is affected by multiple factors which change swiftly even within a short gap.

Harshraj Aggarwal: Thank you, sir. That was all the questions we had. I think, if anything, you want to summarize for the participants.

Rohit Agrawala: I think it was very interactive. The only thing I will tell is that CPCL refinery is perhaps one of the most complex refineries in India. It is the only refinery which has liquid fuel, which has LOBS based stock and wax. And because of our uniqueness, we have some easiness where we are able to come

up with new products quickly. Our team is well-connected with other research institutes, and we look forward to new product development. And operationally for the last 3-4 years we have taken a path of aggressive improvement in efficiency levels . Otherwise, you will not find out where in a short span of 2-3 years, the fuel & loss will come down by 1% to 2% kind of stuff. But yes, because we have taken an aggressive

stand, we have been continuously improving. That is how these parameters are achieved. Our team is highly motivated, and they will continue to contribute their best in their respective domain to improve the operational excellence further.

Moderator: Thank you. Ladies and gentlemen, on behalf of YES Securities, that concludes this conference. Thank you for joining us.

Call: Apr 2026

CS:01:100 /26-27 28.04.2026

The Secretary
BSE Ltd.
Phiroze Jeejeeboy Towers
25th Floor, Dalal Street
Mumbai – 400 001 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No.C/1, G -Block
Bandra Kurla Complex, Bandra (E)
Mumbai – 400 051

BSE Scrip Code: 500110 NSE Trading Symbol: CHENNPETRO
ISIN: INE178A01016

Dear Sir,

SUB: Transcripts of Post Results Conference Call - Q4 (FY 2025-26)
Further to our earlier communication vide our letter dated 21.04.2026 & 24.04.2026 and Please find enclosed the transcripts of the Post Results Conference Call of the Company – Q4 (FY 202 5 – 2026) conducted on 2 4th April 2026 (Friday) .
This information is also available on the Company's website at https://cpcl.co.in/investors/financials/exchange -intimations/ .
This is for your information and record please .

Thanking you,

Yours faithfully,
for Chennai Petroleum Corporation Limited

P.Shankar
Company Secretary
Encl: a/a

"Chennai Petroleum Corporation Limited
Q4 FY26 Earnings Conference Call "
April 24, 202 6

MANAGEMENT : MR. ROHIT KUMAR AGRAWALA – DIRECTOR FINANCE – CHENNAI PETROLEUM CORPORATION LIMITED
MR. ANIL SAHNI – CHIEF GENERAL MANAGER , TECHNICAL SERVICES – CHENNAI PETROLEUM CORPORATION LIMITED
MR. DHARMARAJ – CHIEF GENERAL MANAGER , FINANCE – CHENNAI PETROLEUM CORPORATION LIMITED
MR. RAJKUMAR – CHIEF GENERAL MANAGER , TECHNICAL – CHENNAI PETROLEUM CORPORATION LIMITED

MODERATOR : MR. GAGAN DIXIT – ELARA SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Chennai Petroleum Corporation Limited Q4 FY26 Earnings Conference Call hosted by Elara Securities.
As a reminder, all participant lines will be in listen -only mode. There will be an opportunity to ask questions after the presentation concludes. Should you require assistance during the conference call, please signal the operator by pressing star followed by zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand over the conference to Mr. Gagan Dixit from Elara Securities. Thank you, and over to you, sir.
Gagan Dixit: Thank you. A very warm welcome to everyone joining us today to discuss Chennai Petroleum's Q4 FY26 results. We are pleased to have with us the management of Chennai Petroleum, led by Mr. Rohit Kumar Agrawala, Director (Finance), along with other senior executives of the compan y. With these opening remarks, I would now like to hand over the conference to the management. Over to you, sir.

Rohit Kumar Agrawala: Thank you. Good afternoon, everyone. I'm Rohit Agrawala, Director, Finance, Chennai Petroleum Corporation Limited. And with me are my colleagues, Mr. Anil Sahni, CGM Technical Services; Mr. Dharmaraj, CGM Finance; Mr. Raj Kumar, CGM Technical, and they're part of this investor conference, they'll be happy to reply to any of your specific queries.
First of all let me thank you again for joining this call today. On behalf of CPCL team, I welcome you all to this post quarter 4 results con ference call. Before we begin, I would like to mention that some of the statements that we would be making during this con call are based on our assessment of the matter, and we believe that these statements are reasonable. However, the results would be different depending on the number of events and uncertainties.
Further, this con call is on Q4 and annual results for FY 2025 -26, and we'll be limiting our discussion on the results. Any other queries shall be taken separately by our team. Our results of quarter 4 2025 -'26 are with you, now for some few hours, I hope some of you would have analysed them. And if you have any specific query on that, we'll take up this during the conference call.
Again, to give my brief on the matter, our refineries continued its stellar performance on both physical and financial parameters during this quarter as well as full financial year 2025 -'26. Let me start with the physical performance.
CPCL achieved a highest ever crude throughput of 11.71 MMT, million metric ton, which equivalents to 112% of installed capacity, breaking records of our previous best of 11.64 MMT achieved in financial year 2023 -'24. In quarter 4 of the current financial y ear, CPCL achieved a crude throughput of 2.93 MMT, which is also 111% of installed capacity. This reflects our agility to continue performing at the highest level, tackling global challenges.

The highest ever throughput has been achieved despite a planned shutdown of 1 of our 3 crude units for about a month during the year. CPCL achieved the best fuel and loss of 7.73%, best MBN of 69.8% and best EII of 84% in the current financial year '25 -'26, surpassing our previous best records achieved in the last financial year, this was driven by the effective implementation of energy conservation initiatives and significantly improved operational reliability.
CPCL concluded the financial year on a high note, achieving the highest ever production levels of 5.139 MMT for diesel HSD, and 1.318 MMT of petrol that is MS, an impressive testament of the refinery's outstanding operational performance. Further, highest ever distillate yield of 79.1%, beating our previous record of 77.6% set in 2019 -'20 wa

s also achieved during this year.
CPCL achieved highest ever LPG production of 447 TMT, overcoming previous record of 404 set in 2023 -'24. With global uncertainties affecting the availability of LPG all over the world, CPCL is happy to step up the requirement when the nation needed it. Thi s once again reiterate our unwavering commitment to serve the nation and increase our efficiencies.
CPCL achieved the highest ever annual production and dispatch of value -added niche products like LS naphtha, pharma -grade Hexane, MTO. All these again have reached peak production and dispatches. CPCL again had a good R LNG consumption, again, to look forward to economics to bring in more economics and bring in more sustainability and environmental commitments. During the financial year, we processed 52% high sulphur .
Due to our flexible crude -sourcing mechanism, we have strategically secured 55% to 60% through long -term agreements, the remaining on short -term basis from diverse sources, allowing us to enhance flexibility and capitalize on price economies irrespective o f what situation we are in. Further, we have launched trial runs of 2 new products. One is pentane, the other is textile grade MTO.

CPCL achieved the quartile 1 position in 7 indices of International Solomon Benchmarking Study, which includes energy intensity and operational availability. And in the country, this was the only second refinery where we moved to first quartile in energy p arameters. CPCL is committed to develop new schemes on energy efficiency, further fuel and loss reduction and develop and enhance ment value -added products.

Now I move to financial performance. The gross refining margin, GRM, for financial year 2025 -'26 was $9.2 per barrel as compared to Singapore benchmark of $5.83 per barrel. Our current GRMs have been at a premium to Singapore GRMs consistently over the pas t 5, 6 years, mainly on account of continuous optimization of refinery production, product distribution, optimized crude procurement and efficient handling of processing capability.

The GRM for quarter 4 was $13.75 barrel as compared to Singapore benchmark of $8.70 per barrel, which again reiterates that all these efficiencies are constant, continuous and are being sustained over each period. All these have been achieved through optimi zed crude mix, selection of grades based on benchmark and then we have compared the premium discount with respect to our efficiencies that we can arrive out of them.

Our leverage position now stands at 0.18. Our debt equity stands at 0.18 at a gross level as compared to 0.39 last year. Again, that tells us that our borrowings have subsided significantly. And then for our future projects, the company possesses a signifi cant capacity to borrow and implement profitable schemes.

On a gross basis, the borrowings are INR1,900 crores, but on a net basis, it is less than INR1,000 crores, to be precise, INR973 crores. If we consider net borrowing, the debt ratio is only 0.09, which is less than 0.1. Further, in line with our disciplined and consistent dividend payments, we continue to take care of all investors, including minority investors.

During the year, for the first time, CPCL paid an interim dividend, and we are happy to announce that in addition to the interim dividend of INR8 per equity share of INR10 each, the Board has recommended a final dividend of INR54 per share, taking the total dividend for the year to INR62 per share, which again is highest ever.

Now we move to future capex and development program. During the current year, the capex was INR856 crores as compared to INR673 crores in the previous year. Some of the important projects that we'll be taking up is Group 2, Group 3 LOBS for which all approvals are in place and the project execution has started in full swing. Even our retail outlet endeavor fo

r which we
had take n 300 licenses has started. And this year, that is '26 -'27, we'll see a lot of commissioning out of them.

A few more governance issues I'd like to highlight here, and I hope the investors will be happy to note them. CPCL on the ESG parameters, CPCL achieved a S&P Global ESG score of 60 for the year 2025. In their yearly corporate sustainability assessment, we achieved the second highest S&P Global ESG score in oil and gas in India.

So from a technical side as well as on the sustainability side, we are striving and our progresses year-on-year are pretty significant. And all this has also led CPCL being conferred the Gold Shield award from ICAI for excellence in financial reporting by the institute. And this is one of the prestigious awards by ICAI. Now with all this, I would like to say the uncertainties due to logistical constraints, volatility of crude oil prices do pose challenges.

While these are broader factors that may drive volatility, we remain at CPCL focused on things we can control, and that is operating our refinery efficiently in a safe, reliable and environmentally responsible manner and continue to focus on key m atrix such as controlling the operating costs as well as maintaining capital discipline by adhering to optimum return on value -added and growth projects and thereby hono uring our commitment to create long -term value for our shareholders.

To summarize, we continue to deliver resilient operational and financial performance and see the momentum to continue in the new financial year as well. Thank you, all of you, once again, and we are now open for questions.

Moderator: Thank you. We will now begin the question and answer session. Anyone who wishes to ask question may press star and 1 on their touchtone telephone.

If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use handset while asking a question. Ladies and gentlemen, we will wait for a

moment while the question queue assembles. The first line is from Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil: Thanks for taking my question sir and congratulations for the good set of numbers. Sir, the question is related to the challenges CPCL is facing while purchasing the real barrels or the physical barrels from the international market? That is one.
Second question is related to crude purchasing contracts in the current context, mostly focusing on the March and the April month. Are you still purchasing all the crude quantity on the spot or dated basis or is some portion still being procured through contracts from various countries? I'll take a pause here.
Rohit Kumar Agrawala: Thank you. I'll take the first question first. As far as crude purchases are concerned, you can see from our performance that not only for the whole year, but our capacity utilization is also 112%, even in quarter 4, which was influenced by geopolitical events, our performance is 111%. So, we do agree there were challenges. There were uncertainties, but we overcome them through continuous collaboration, multiple sources, keeping our channels open and then resolving obstacles. So that is how we could process all those crudes .
Now on your issue on March and April, if you want to ask us, are we doing everything on spot? No. Our term contracts are intact, and barrels are flowing out of our term contracts. But yes, there have been some impact, which has been made good by spot. But when we look forward, all our term contract suppliers are reassuring ourselves that all the commitments will be honoured by them.
Yogesh Patil: Okay. Let me quickly reframe the questions. If you could give us an idea of what is the spot or dated crude purchase? And what is the portion of term contracts volume

you are getting? That's one. Secondly, are you still paying a premium on the term contracts also? I mean the market is aware that on a spot or a dated purchase, but are premiums also applicable to term contracts?
Rohit Kumar Agrawala: Yes. So again, I told normally our term is 55 to 60%. There is not a major variation now. One or two barrels plus/minus is happening, but no significant change has happened there in the past or looking forward also, we don't see a major change, 1 or 2 bar rels and 1 or 2 shipment cargoes, may be here and there, which will be made good in going forward.
As far as term or spot premium, the term cargoes are based on OSPs. The OSPs are fixed for a tenure, and we procure. So, there is no change in that formula. Only thing is month -to-month, depending on spot and other criteria, these companies declare their OSP. Still, if you ask me, our agreement is to purchase at OSP, the term, we continue to purchase at OSP.

Yogesh Patil: Okay. Sir, my next question is related to export duties on the diesel and the ATF. In the current context for this current fortnight, export duties are much, much higher than the cracks on the same product, diesel and ATF. So for the current fortnight, ar e we in the positive on the diesel and the ATF cracks? Or you can correct me on this side.
Rohit Kumar Agrawala: So I will reply like this. Export is not a compulsion to me. Export is one of the options available to me to optimize my margins and realization. So main products like HSD, MS we evaluate all available markets and realizations . And then whatever mix and combination is best profitable for the company, those kinds of things we do. So, for compulsion, we are not booking anything on export.
Yogesh Patil: Okay. But the question was quite simple, sir, from my side, and I would be happy to take your answer on that very simple note that the cracks we are realizing on the diesel and ATF in the current context of the export duties, which are higher are we currently in a positive or negative range for diesel and ATF margins?
Rohit Kumar Agrawala: See, to my understanding, the export duty on that cess is part of the realization, part of the broad crack, and it is not higher than the crack. But then that doesn't make a difference for CPCL because when I have multiple options, and I have the option o f both selling domestic as well as exports. And till the time I'm able to take a commercial decision based on merit, I think intermittent abnormal indication in the market doesn't impact me and my profitability.
Yogesh Patil: Fair enough, sir, LPG maximization in output, how has it impacted GRM in March, and what impact do you expect in Q1 FY27?
Rohit Kumar Agrawala: I told instead of 404 TMT , we have gone to 447 TMT , that's about 10%. And this has not impacted our margins.
Yogesh Patil: Okay. And the last one, sir, capex guidelines for the next year and the guidance on the debt levels, if you could provide, that would be helpful.
Rohit Kumar Agrawala: So I told the debt positions are very, very comfortable. On a net basis, it's hardly 0.1 DER and less than INR1,000 crore s borrowing. So we are very, very comfortable there. As I said, LOBS have been approved. All clearances are available with us. LOBS project, Group 2, Group 3 LOBS project is INR1,600 crores. The retail outlet project is INR400 crores. So that makes it

INR2,000 crores. This INR2,000 crore s will happen over 2 to 3 years. Besides, every year, you can assume another INR500 crores is our normal capex .
Moderator: The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.
Nilesh Ghuge: Yes. Sir, firstly, my question is on this throughput again. So you mentioned that you have done the highest ever throughput for FY26 . But are you confident that this throughput level will remain at

110%, 111% for -- in FY27 , at least for first half? Or will there be any challenge in maintaining that elevated utilization?

Rohit Kumar Agrawala: So we all have to understand what are the parameters or why a company can perform more than 100% or why a company cannot perform more than 100%. See, these capacities are built on certain days of operation. To my understanding, it is based on 330 days standard days. So what is happening is if my upkeep is good, if unplanned interruptions are not happening, if day -to-day operational bottlenecks are resolved immediately, then I have additional leeway where I'm able to operate this.
And because the fixed costs are pretty high in a refinery kind of a situation, if I'm to take this leverage, it is not only adding to throughput, it is also adding to the divisor effect . And my performance, my metrics, my profitability are pretty good. And what I'm saying is, if it is a one -off year , we can analyse .
But what we are saying consistently for the last 4 to 5 years, we have been exceeding our 10.5 installed capacity. It means what? The operational philosophy has become much stronger In some of these areas, operational excellence has improved. So now you will ask me the projection. First, reply to you , in the first 6 months, we don't see any M&I. So it may not be there. But yes, maybe close to September, October, we have a scheduled M&I of one of our refinery units. So these throughputs will be dependent on that.
But we also mentioned last year that in spite of one of the crude unit M&I for 1 -month, this was achieved. So , I must tell you the forum, the investor forum, this company is also trying to look into some of the possibilities, low -cost debottlenecking. And we are talking to EIL idea is that when we are consistently able to perform at this level, can we implement some debottlenecking or enhancement in our secondary processes on a systematic basis with low -cost capex? And can we sustain even higher margins th an this?
Nilesh Ghuge: Okay. Okay. Yes. Sir, my second question is on the refinery transfer price. So are you selling our petrol and diesel at the refinery transfer price to the oil marketing companies? Or are you selling at any discount?
Rohit Kumar Agrawala: No, our agreement, as you would be aware, close to about 90% of our product, mostly HSD, MS, goes to Indian Oil. We have a tie -up with them, we've a long -term agreement with them for selling. And the agreement is at RTP, that is refinery transfer price .
Moderator: The next question is from Sabri Hazarika from Emkay Global Financial Service. Please go ahead.
Sabri Hazarika: So firstly, on a few bookkeeping questions. You mentioned that 13.75 $/bbl was your reported GRM for Q4, right? And what would be the core GRM?
Rohit Kumar Agrawala: 10.3 $/bbl would be the core GRM.
Sabri Hazarika: 10.3$/bbl , right? Okay. Okay. And secondly, what could be the forex loss for the quarter and for the year?

Rohit Kumar Agrawala: For the quarter, it would be for the quarter, it is approximately INR 200 crores ,. And for the whole year, it will be around INR350 crores.
Sabri Hazarika: INR350 crores. Okay , sir. The second is basically in the current scenario only. So I think the previous participant also asked you. So ideally, our understanding is that , I mean, the government comes up with the Arab Gulf numbers, we take the Arab Gulf, then we compare it with the Indian basket or, say, Brent, if we assume that to be the benchmark.
And then what happens is that whenever the export duty is imposed, the domestic RTP also gets adjusted by that amount. So right now, I think it is too early, I guess it has been changed only twice . But right now, the cracks are -- the netback after the export duty a

djusted in domestic
RTP is negative. So is that correct ? Or you are saying that you are still getting good GRMs even after this export duty and current cracks?

Rohit Kumar Agrawala: So I'll tell you what is running as of today, as I am speaking to you . The net GRM based on realized RTP is pretty close to the long -term average.
Sabri Hazarika: Okay. Okay. Because there was some news regarding the OMCs also asking additional discounts on RTP, I think INR60 per liter, some number was quoted in the media.
Rohit Kumar Agrawala: I think you will agree with me. I can tell what I know and what I have observed .
Sabri Hazarika: Right, right, right.
Rohit Kumar Agrawala: As for reacting to media reports, I may or may not be as well -informed as you.
Sabri Hazarika: Right, sir. So right now, you are near the long -term average GRM. That is the current position?
Rohit Kumar Agrawala: Yes. When I'm speaking, that is today, when I compare today's net GRM or net cracks to that way, I find them to be close to the long -term average.
Sabri Hazarika: Got it, sir. In both -- I mean in diesel and ATF both, right?
Rohit Kumar Agrawala: Yes.
Sabri Hazarika: Okay. And currently, what is the crude mix of the company? How much you are getting from where and what could be the average price at which you are getting?
Rohit Kumar Agrawala: See, the price, whatever I tell you will be wrong because what is happening, what we have witnessed, we have never seen. We never thought BDT would be at negative 20 and then move to positive 20. There is a wide fluctuation happening. I think for a company to operate, the present 1-day or 2 -day scenario is not something to be discussed. But I can tell you my mix. As I said, this refinery is capable of 70% high sulfur -- up to 70% high sulfur. But depending on the BD D, whether sweet crude is cheaper or sour crude is cheaper, we source. Like in the current

year, I mentioned that we sourced 52% HS. So we — instead of 30%, we sourced 48% LS because we found LS to be cheaper than HS.
So, if I'm able to process cheaper low -sulfur crude I get higher yield, I have lower fuel and loss, my profitability is increasing. So, I'm harnessing these opportunities available in the market. I'm assessing my optimum potential, and then I'm doing my best to increase margins and profit.
Sabri Hazarika: No, geographically, I wanted to know geographically, if we divide it geographically between, say, Middle East, Russia and others, then what would be the mix?
Rohit Kumar Agrawala: So, I will say — let me start with India. Maybe India would be around 10%, including Bombay High and others. Around 25% –30% may be from Russia, and the rest would be mostly Middle East countries, with about 5% to 10% from Africa and U.S. crudes.
Sabri Hazarika: And this Middle East is basically that Saudi West Coast, I mean, Red Sea volumes that could be coming, right?
Rohit Kumar Agrawala: No, it also includes Iraq.
Sabri Hazarika: Is Iraq currently supplying?
Rohit Kumar Agrawala: Not immediately. I told you — on an immediate basis, any judgment or call from my side has no relevance because things are changing every day. So I explained how we are structured and how we are processing .
Sabri Hazarika: Right, sir. And sir, just a last small question. How much would be your current crude and product inventory days?
Rohit Kumar Agrawala: See, typically, I think if I do not consider operational constraints, my inventory days are normally around 20 days, because the situation is a little difficult. So I operate with flexibility — from 5, 7, or 10 days to about 15 –18 days, depending on the day -to-day situation. When a cargo arrives, inventory suddenly improves to a comfortable level, and by the time the next cargo arrives, I maintain minimum levels so that operations are not interrupted.
Sabri

Hazarika: And this is for both crude and product?
Rohit Kumar Agrawala: No, I was referring only to crude . See, product -- the dispatches are happening to Indian Oil. And the facilities are located close to our plant. So there is no change from earlier, and inventory days for products are minimal — only a few days at most.
Sabri Hazarika: Okay. A few days of product inventory you generally keep because you are anyways like embedded with IOCL.
Rohit Kumar Agrawala: Yes.
Moderator: The next question is from Abhijit Nadkarni from UTI AMC. Please go ahead.

Abhijit Nadkarni: Yes, sir. My question is, even though for Q4, the GRM is around 13. The situation overall...
Moderator: Sir, your voice is -- sorry to interrupt, sir. Sir, your volume is too low.
Abhijit Nadkarni: Yes. Sir, my question is, till February, the overall geopolitical situation was normal. And in the

month of March, the actual event started impacting the overall elevated crude oil prices and even higher cracks . So even though the GRM have improved, is it reasonable to estimate -- can you provide any quantitative figure how cracks have increased in the month of March as compared to January and February for CPCL?

Rohit Kumar Agrawala: Yes. So what I can tell you is the quarter 4 GRM I gave is an indication where -- which includes January to March. And quarter 4 GRMs were a little better than quarter 3. Quarter 3 GRMs are were little better than quarter 2. So that is how the -- and quarter 2, quarter 2, quarter 3, all these last 3 quarters were much above quarter 1. That's the sequence in which the whole year has gone.

But if you talk about any particular part of March or any particular part of April, the volatility is very high on a daily basis. But still in these months, the cracks are reasonable enough and close to our long -term averages. So that is how we are striving to maximize our throughput even in this situation.

Moderator: The next question is from the line of Dhaval Popat from Choice International Limited. Please go ahead.

Dhaval Popat: Congratulations on good sets of number and thank you for the opportunity for asking question. First question I had was on the -- so HPCL underwent the residual upgradation facility recently and CPCL had done it way back in 2018. So is it possible for the management to comment on how is the RUF for -- how the CPCL RUF was different in terms of botto m destruction vacuum residue treatment, or treatment of vacuum gas oil, as compared to what HPCL will do now?

And the second question I have particularly is that from a perspective of the flexibility between the diesel and jet fuel. So how comfortable is CPCL in shifting towards jet fuel or increasing the proportion of jet fuel in the current quarter as compared to diesel? Provided the European cracks are going to be much higher and influencing the Asian cracks as well. I'll stop here for the answers.

Rohit Kumar Agrawala: On the first part of your question, see, each refinery, the unit name may look similar, but the configurations are altogether different. So my bottom upgradation project and HPCL's bottom upgradation project may not be the same in all parameters. But I can tell you what I achieved through my upgradation project. Like the last part, the DCU, Delayed Coker Unit, till now, I was operating at a capacity of 70 -odd percent. This time, I'm close to 100%.

Again, because this time I felt some of the blends can come from other units, I can process in DCU, I can further improve the yields. And that is how you find my yield to be around 80%. If

you see last 3, 4 years of CPCL, the yield has gone up significantly up, not marginally up. And certainly, these kind of projects play a large role over a period of time.

On the other part, di

esel versus jet fuel, see, based on the license I have, based on the cons traints I have, I have certain percentage of product that is fixed. My swing capabilities are minor from convert one to other. Only thing this kind of debottlenecking, blend transfer, rerouting, mixing, these can be done, but there is a limitation. But CPCL, beca use it operates 3 crude units, it is a lot of flexibility to that way.

And certainly, our operation plan, we run our RBO plan thrice a month. So thrice a month, we look at what is the broad trend, what modification can happen, how can you optimize profit and that is how we tweak our plan. Even if we have a long -term plan, we have an annual plan, we have a monthly plan, we tweak to the extent possible depending on all these parameters.

Dhaval Popat: Okay. That is helpful, sir. So just a follow -up on this. So as you said, of course, I've been following the CPCL and it has increased from 75% onwards to almost now 80%. So over the next 3 years, how can we expect the distillate yield to be going forward, let's say, by 2029 -- in '27, '28, '29, will this -- will we be able to see similar improvement or will be a some slower improvement? Or how can we see that?

Rohit Kumar Agrawala: So I will reply this like this. See, there are some gradual small improvements , which happens to operational measures based on experience, blend transfer and all that. That's a continuous process. That small incremental impact will continue. But a lot of some more things happen through schemes, capex , low capex schemes. Our people work on both sides.

Parallelly also, we are working on so many capex , small capex projects, which can give a significant impact. Parallelly, also, we are running on our ENCON schemes and all, which at times -- which at all times gives impact on fuel and loss. But at times, it also gives us benefit in terms of yield.

The third point is crude mix we often overlook that crude mix is a big factor in improving yield . And that is where we go on exploring more and more crude. We look at blends, what kind of blends can be done. And at times, this also gives a lot of additional benefit without significant corresponding increase in cost. Okay agreed. All these are first three things.

Moderator: The next question is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Fund.
Please go ahead. Thank you sir for the opportunity.

Kirtan Mehta: I have a follow -up question on the statement that you made that the current net GRM are closer to the long -term average, , both in case of diesel and ATF. So is this somewhere around $15 per barrel? Is that the average that we are looking at? Because typically, over 7 to 10 years, the diesel cracks have averaged around $15 per barrel ?

Rohit Kumar Agrawala: I found around 13 $/bbl to be the long -term average.
Kirtan Mehta: $30 per barrel?
Rohit Kumar Agrawala: $ 13 per barrel .
Kirtan Mehta: Understood, sir. Second question was about the -- we had seen a situation something similar during the Russian invasion, at which point of time, I think the -- within the OMCs and the -- there was a mechanism adopted where government announced the export d uty and there was a commercial discussion between the OMCs and the independent refiners and the prices -- domestic purchase price for the OMC was set adjusting for the export duty. So even the -- for the domestic purchases, OMC s enjoyed the discount. Is th e same mechanism being implemented even under this crisis or the mechanism is something different?
Rohit Kumar Agrawala: What I will tell is RTP is a very transparent pricing mechanism, which is available at an industry level and is available to everyone. So I think it will not be appropriate for me to deliberate on RTP pricing. But as I talk today, even those gross margins, the other impacts are changing drasti

cally da y-to-day. Only thing I can tell you is what I'm able to see over a 15 -day period or a month period. When I look for a month average kind of a period, I feel I'll be able to sustain the lon g-term averages.
Kirtan Mehta: Sure, sir. One more question was a follow -up on the crude basket. We said that we have a 55% to 60% coming through the long -term agreements. Could you also sort of highlight how much of these long -term agreements are with the Middle East partners? And wha t portion of those long-term agreements has been impacted by the closure of the Strait of Hormuz for more than 50 days now?
Rohit Kumar Agrawala: So I will tell you, maybe you can consider almost all are Middle East. Almost all of the long -term agreements are Middle East. Even within this difficult situation, cargoes are still flowing to us. What has impacted i s that maybe 30% to 40% was affected over a very short period , but all have assured us that depending on the situation, they will make up all the cargoes.
Kirtan Mehta: Understood. And one -- probably one more question about the Russian cargo. So you said that it's around 25% to 30% in the mix. In the previous quarter, we had seen some sort of level of discounts of around $3 or so. At this point of time, when we compare with the Brent, is it coming at a discount? Or is it coming at a premium?
Rohit Kumar Agrawala: See, again, as you see, we evaluate crude, not based on where from it is coming, what is the premium. We try to evaluate what is my landed cost. What is my landed cost, LS / HS, what is the combination I want? And based on that, even if I am procuring Russian crude, I am comparing the landed cost or whenever -- because it is part of the spot. So when I take a Russian cargo, I compare with other available spot cargoes. So I tak e based on the l owest landed cost basis.

Kirtan Mehta: Right, sir. Just one last question in terms of -- you have spoken about the INR1,600 crore s Group 2 and Group 3 LOBS project. Could you highlight some economic details, such as what kind of yield improvement we expect from it and what kind of margins it can generate?
Rohit Kumar Agrawala: So I'll tell you that. See, first, it is an IRR -based project. We expect a good IRR out of this. So this is not a compliance -based project. this is an economics -driven project that we are undertaking. The products will be Group 2 and Group 3 LOBS, which will go to lubes formation because you will find the lube manufacturer, a significant portion has moved from LOBS 1, 1 grade fee dstock to second and third for value -added products.
So a lot of LOBS 2 and 3 will give me better realizations. Third is maybe a small part of my HSD will also get converted into LOBS. So basically, it is a value -added product scheme where I will be moving from lower value -added (lower realization) products to higher realization products.
Kirtan Mehta: Sure sir, thank you!

Moderator: The next question is from the line of Nirav Jimu dia from Anvil Wealth. Please go ahead.
Nirav Jimudia: Thanks for the opportunity I have two questions. So sir, first is on the low -cost debottlenecking, which you just mentioned in your one of the remarks. So if you can just throw some more light on this, like how much we are contemplating in terms of this low -cost debottlenecking of our existing refinery? An d if you can give some sense in terms of what should be the capex for this low-cost debottlenecking, which we are currently undertaking?
Rohit Kumar Agrawala: Right. So I'll repeat what I said about capex . I said there are two new projects with me. One is LOBS 2 and 3, which is INR1,600 crore s. INR400 crore s is my retail outlet. CPCL has ventured into retail outlets — around 300 in number . And both these are new initiatives. These are economic projects. Both will help me ex

pand my margin and my value chain from only refinery to refinery plus marketing.
And the LOBS will give me value -added product. Besides this, I said about another INR500 crores is my normal maintenance capex . And part of this maintenance capex is always used by our team to look into opportunities for small, low -value capex projects , which can either result into efficiency in terms of energy and reducing my fuel and loss or value -added product or some mix and other things where my overall bottom line improves. And that happens on a day -to-day basis, regular basis, which will continue.
Nirav Jimudia: Got it. Sir, I understand that fact about the expansion and the newer products, what you mentioned. I was more talking about the debottlenecking part, like currently ...?
Rohit Kumar Agrawala: No. So I hope you are referring to some debottlenecking that I told. So -- but there, I have said the capex is not frozen. We are doing a study because what I said is my capacity is 10.5. If you go back 3, 4 years, I was not able to achieve 10.5. For the last 3, 4 years, I'm consistently exceeding 10.5 and achieving 11.6, 11.7 even with or without the shutdowns.

So I felt there is a sustainable additional capacity. But if you want to sustain and realize higher value, you need commensurate secondary capacity along with primary capacity . That commensurate secondary, we are doing a study. The study is not yet complete. But in the coming year, '26 -'27, we hope that ongoing study will get completed. And if we find out some low -cost capex, today, that is not part of our plan, that will be in addition to whatever I have told.
Nirav Jimudia: Got it. Perfect. Got it. Sir, second question is on the value -added products like 3, 4 value -added products. One is n -paraffin, second is pharma grade Hexane, then naphtha also fetches currently now some premiums in the international market when we export that. And fourth one is MTO ? So if you can just help us in terms of how much these products have achieved volumes in FY26 ? And let's say, out of the GRMs, what we have achieved in FY26 , how much would be the contribution from these 4 products put together?
Rohit Kumar Agrawala: At this point, I may not have a detailed breakup for these four products, but I will answer your question in a more directional manner. See, 90% of my product is sold to Indian Oil — around 90% to 92%. About 7% to 8% constitutes these kinds of niche products. And this 7% –8% is currently contributing around 15% of my margins. And if you take one product like, say, MTO, it has more than doubled in the last financial year that we are talking. And if you talk about Hexane, I have doubled my capacity. So again, in the coming year, I may ramp up this production. Similarly, I mentioned two more products under discussion. So these are small niche products, but if you consider them as a group, there is good potential to increase margins
Nirav Jimudia: Got it. So sir, just a follow -up. Like you mentioned that Hexane, we have doubled our capacity. So if you can help us how much it was and how much currently we have in terms of... ?
Rohit Kumar Agrawala: It was 30, now the capacity is 60.
Nirav Jimudia: correct, Got it. And second follow -up is on the expansion of the newer project of LOBS. So what would be the capacity enhancement or the capacities which we would be looking at with this newer project of Group 2 - 3 LOBS?
Rohit Kumar Agrawala: So see, today what is happening is, as you would be knowing, CPCL is the only refinery which has liquid fuels, wax, and lube potential. We are the only refinery in India which has all three capabilities. But today, part of our lube potential — we are only producing Group 1 grade.
Currently, we do not have Group 2 and Group 3 grades.
All the people who are dealing here in India, most of them import. I

don't have this capacity. So
now I'm moving this. My new unit will take me to a 250,000, 250 KTPA in Group 2, Group 3 capacity, and that will be a fresh addition. And that will replace a lot of import, and it will give me value addition.
Nirav Jimudia: Got it. And sir, lastly, your thoughts on n -paraffin. So how is this product in terms of our overall refinery mix? How much we were in terms of the production of n -paraffin, let's say, 3, 4 years

back? And where are we currently in terms of N-Paraffin ?

Rohit Kumar Agrawala: What I will suggest is on this N-Paraffin , we can take this question offline because I'm not finding this to be very, very significant. But then if you want a directional answer, I talked about 2 products, pentane and textile grade MTO. So, these are again in a similar direction. So, idea is whatever we find in our periphery, where because of our technical skill, the margin can be increased and plus we operate 3 units. So, our flexibility is more. So, we have taken advantage in the past. Going forward also, our technical team is competent, and the y look out for these opportunities.
Nirav Jimudia: Perfect. Thank you so much and wish you all the best, thank you!!
Moderator: The next question is from Akash Mehta from Canara HSBC Life. Please go ahead.
Akash Mehta: So my first question is in regards to the -- you mentioned that you're purchasing the crude on OSP basis. So can you just help us understand the long -term contracts, how long are these long -term contracts? And basically, what's the difference? I mean, if you were to kind of purchase from spot versus long -term contracts? Is this the same? Or how much advantage we have? That's my first question.
Rohit Kumar Agrawala: Yes. So I'll tell you, see, these contracts are 1 -year contracts. Before end of every year, the terms are renewed, almost on a similar basis and similar terms. And what is the difference between long-term contract or spot is, in case of a term contract, t he supplier binds himself except unseen force majeure cases or otherwise, he commits us volumes of the specific grade that has entered into an agreement for, at OSP.
So the price basis is agreed. The volumes are agreed and some of the flexibilities for both supplier and the consumer are agreed. In case of a spot, I give the requirement to the market for 1 parcel, for 2 parcel, whatever I want. And from parcel to parcel, there is those changes, my specification as well as the pricing term.
Akash Mehta: Sure, sir. That's helpful. And secondly, I mean, you have mentioned the crude breakdown in terms of sourcing historically or in a normalized situation, but can you just help us understand how things are going into the April month in terms of the region -wise, country -wise sourcing?
Rohit Kumar Agrawala: I think there also, I replied to one of the queries where I said, specifically, if you talk about the Middle East, 30% to 40% disturbance has been observed over a short period is the disturbance that has happened. But all the suppliers have assured us that they are committed by the annual commitments and they are committed to supply those barrels. But that intermittent short period gaps, we had no difficulty in filling up from s pot.
Akash Mehta: Sir, spot, if you were to just look at your -- I mean, in general, the purchases are coming majorly from Russia and Africa or any other region? If you could just help us understand?
Rohit Kumar Agrawala: Mostly there, but in between a few cargoes are otherwise also available. But again, what will come to us depends on what is the delivered price that has come to me. So suppose 10 people

might have quoted I will take the cargo with the lowest delivered cost basis . So I will know what I have selected.

Akash Mehta: Sure, sir. That helps. Yeah. Thanks so much, sir. Thank you.
Moderator: A reminder to all participants,please restrict yourself to two questions. The next question is from the line of Nalin Shah from NVS Brokerage. Please go ahead.
Nalin Shah: At the outset, sir, let me congratulate the entire team of CPCL for, I would say, probably it is the lifetime best ever performance from CPCL, if I'm not wrong. So that is my first, I mean, congratulations to the team. Sir, my question is that all the other technical questions have been answered.
What I want to say and add is that your top line, which is now at a significantly high level, something like INR50,000 crores, INR70,000 crores, INR90,000 crores, your share capital has remained, sir, at a very small level, INR148 crores. Are we not wanting to reflect correctly our share capital by capitalizing the bonus shares and giving out to the investors. So that is, I think, one question which remains in my mind when we have a significant reserves of almost INR11,000 crores ?
Rohit Kumar Agrawala: So first of all, I must thank you for complimenting the team. On the performance, I will tell in terms of number, certainly, this is one of the best performance that we have done, but I'll still read this as the best because if you see on all parameters, we are exceeding year -by-year. So what that gives me a confidence that given a good market, given a conducive atmosphere, we

can repeat or exceed these kind of performances when everything else falls in place.
Now with respect to reward, see, that is another aspect we are very keen, and we have been demonstrating all these over the past 2, 3 years. If you see 2023 -'24, one of the highest ever dividend of INR55 was given against INR10. Then even though the company was looking for capex, there were good growth projects are there, but we felt no. Reward to shareholders is also an important part.
And if you see in the current year, again, for the first time, interim dividend was given. And now if we include the interim dividend, the dividend is INR62. The overall dividend is INR62, again, one of the highest dividends paid by a company to shareholders. So as far as we are concerned, the shareholders remain a key focus for us.
Nalin Shah: Correct.
Rohit Kumar Agrawala: But you would also appreciate some of the decisions are taken at the right time. So we feel at the right appropriate time, even the bonus issue will also be considered by the Board and the right decision will be taken.
Nalin Shah: Thank you very much, sir. Thank you. And once again, congratulations for outstanding performance and the best wishes for the current year. Thank you.

Moderator: The next question is from the line of Umang Adatia, an Individual Investor. Please go ahead.
Umang Adatia : Sir, I have one question on my part. Sir, in March quarter, crude was around \$110 to \$115. So our blended margin GRMs came around \$9.2. So I want to ask if the -- can you just quantify any profit foregone in terms of selling oil to IOCL in absolute numbers?
Rohit Kumar Agrawala: Okay. So two things I will tell. First on crude price and GRM. Actually, and literally scientifically also, there is no one -to-one relationship between crude price and GRM. See, it is a crack, the difference between crude and product, which is called the crack, that de termines GRM based on my efficiency.
So the crack -- gross crack, defined by my fuel and loss and my operation capabilities decides what kind of GRM I will have. So at times, even a low crude might have a low GRM period and a high crude might have a high GRM period and vice versa. There is no one-to-one correlation between the two. On the second part, can you repeat the second part?
Umang Adatia : My second part is, can you just quan

tify an absolute number which profit foregone by CPCL by selling oil to IOCL?
Rohit Kumar Agrawala: Yes, yes. So what I told is though I sell about 90%, 92% oil to IOCL, but I have entered into a long-term agreement with them. And the long -term terms are RTP, refinery transfer price. So this is a price where everyone sells to an OMC. So basically, what I sell is at the price at which industry sells to marketing companies. So I will not assign anything as profit forgone because I'm selling at market price, which everyone else is selling.
Umang Adatia : Actually, the purpose of asking the question was that no doubt, it was a very good result, I know. But the purpose was because we can see clearly GRMs have fallen due to RTP cap and all. So there would be an absolute impact. So I would expect any rough nu mber from your part?
Rohit Kumar Agrawala: No, I'll not be able to allocate a rough number at this place because whatever you are saying is also maybe at max a fortnight or maybe less than that, which will not impact the results that we are discussing either the quarter or the annual very signific antly, but yes -- and as far as I am concerned, and when I look at my business, when I'm realizing something close to my long -term averages, I will not put a lot of effort into day -to-day movement because I'm not a trader.
My objective is not to take advantage or get bogged down by short -term few days abnormal situation. My idea is whether my business model is intact, whether my margins are in the path of long -term averages, whether I'm able to create efficiencies within my system from what I have done last, if I'm on the growth trajectory, I'm able to bring in new projects, I want to improve my material balance and I'm able to -- on the margin front, I'm on my long -term average. That is where I'll put my focus and my efforts .
Moderator: The next question is from the line of N.M. Modi , an Individual Investor. Please go ahead.

Nm Modi: Sir, my first question is regarding other expenses. During this quarter, the other expenses is INR634 crores, whereas last year, it was INR344 crores. So there is a steep increase. At the same time, in the whole year, last year, it was INR1,465 crores, and this year, it is INR2,001 crores.
So what would be the reason for this?

Rohit Kumar Agrawala: Yes, Mr. Modi, you are right. As we talk because the rupee movement is significant during the quarter as well as year, that is what is accounting significantly. We gave a rough number of about INR200 crores towards the quarter and about -- close to about INR350 crores, INR400 crores towards the annual. So that constitutes a significant part of this, and this is booked in other expenses.
Nm Modi: That is included into other expenses ?
Rohit Kumar Agrawala: Yes, yes.
Nm Modi: Sir, one note could have been helpful in that regard, if you would have provided a note below the accounts?
Rohit Kumar Agrawala: Yes. No, no. We normally do that. But as you know, classification requirements for disclosure of items, And based on that, it has not been, but your point is well taken.
Nm Modi: Yes, sir. Other thing, sir, this GRM, you have pointed out during conversation, 13.75 during this quarter. But sir, in notes to the accounts, you have mentioned 9.28, it is not clear to me ?
Rohit Kumar Agrawala: What you are seeing in annual accounts is full year.
Nm Modi: No, no, sir, that is written in the last quarter only. In the accounts, it is written at $9.28 is in the last quarter ?
Rohit Kumar Agrawala: It is full year.
Management: April to March.
Rohit Kumar Agrawala: You see the corresponding figure will also be full year.
N.M. Modi: Okay. So far, I remember, sir, it is given...
Rohit Kumar Agrawala: Let me read out what I have written. This is note number 7.
N.M. Modi: Yes, sir.
Rohit Kumar Agrawala

: Average gross refining margin for the period April to March '26 is US $9.28 per barrel (April to March 2025: US$ 4.22 per barrel).

N.M. Modi: Okay. Clear, sir. That's for the whole of the year. Right, right. Right, sir. Clear. And this 13.75 stands for the last quarter of the year ?
Rohit Kumar Agrawala: Yes, please.
Moderator: The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead. Thanks for taking my question again.
Yogesh Patil: Let me check again on this earlier question and seek a small clarification to the net GRM or cracks on a diesel, you guided a range of $13 per barrel. So, this average net diesel cracks for the last 1 -month since the export duties are imposed from 26 March. Is this the correct understanding?
Rohit Kumar Agrawala: I do not evaluate, or my management information system doesn't do it daily . I see over a period. Normally, I see over a period either a month or a fortnight. And normally, my period will be a full month 1 to 30 th or a first fortnight, second fortnight. On a day -to-day basis, we don't monitor this.
Yogesh Patil: So the month would be the appropriate to take last 1 -month, correct?
Rohit Kumar Agrawala: Yes, yes. That is how we plan our operation and that is how we monitor the performance also. And there, we felt the long -term trend is intact.
Yogesh Patil: So the understanding would be correct, net GRM on cracks or diesel would be around $13 per barrel for the last one. That's the appropriate quantity
Rohit Kumar Agrawala: Last one year, including the last quarter.
Yogesh Patil: Yes. So last question from my side, sir. Previous participants asked what the Russian oil and the Brent oil price purchase difference. Let me reframe on the landed basis, considering the best value product outcome from the crude, whether it be the Russian or the Brent, Russian crude is cheaper than Brent or in line or premiu m to Brent ?
Rohit Kumar Agrawala: Okay. So I'll tell you like this. Suppose I say I have purchased 20% Russian, then this 20% Russian were cheaper than other available crude for the grade that I asked for. Suppose I have purchased another 10 other crudes, then those were cheaper compared to any other crude during that time, during -- based on the consideration -- based on the specification I wanted.
So, whatever Russian I have procured, that was on delivered basis was cheaper. If some Russian I have not procured, that means it was not on delivered basis cheaper. But during that time, something else was cheaper.
Moderator: Thank you. Ladies and gentlemen, we take this as a last question and conclude the question -and-answer session. I now hand the conference over to the management for closing comment.

Rohit Kumar Agrawala: Yes, I thank you again, all of the participants. CPCL is committed to delivering for stellar operational performance. We take each of the feedback seriously . For us, the investor conference is a platform system for two-way communication. We are committed to continue with our excellent performance year after year.

Whatever challenges come, we put our best foot forward, and we see that how it can be resolved within our capacity and constraints , and over the last few years, CPCL has demonstrated that irrespective of situation we are in, we are able to navigate stronger and in a better manner , and we hope we continue the same going forward. Thank you all once again.

Moderator: On behalf of Elara Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.